SkillNavora

PRODUCT MANAGEMENT

PM Glossary Handbook

Keywords and definitions every product manager should know, each with an example.

Read the definitions, then use the terms in your next PRD or stand-up.

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Product Manager Glossary: keywords and definitions

Every term a product manager needs, with a plain definition and an example. Terms are grouped by first letter.

Index

A · B · C · D · E · F · G · H · I · J · K · L · M · N · O · P · R · S · T · U · V · W

A

A/B test
An experiment that shows two versions (A and B) to different users and measures which performs better.
Example: Testing two subject lines in an email to see which gets more opens.

Acceptance criteria
Conditions a feature must meet to be accepted as done, usually written as Given, When, Then.
Example: Given a logged-in user, when they click Save, then the change appears in the list within 2 seconds.

Accessibility (a11y)
Designing so people with disabilities can use the product.
Example: Alt text on images and keyboard navigation.

Activation
The first moment a user gets real value from the product.
Example: A new user who creates their first project.

Agile
A way of delivering software in short cycles with frequent feedback.
Example: Two-week sprints with a demo at the end.

AI agent
A system where a model plans steps, uses tools and checks results until a goal is reached.
Example: An agent that looks up an order, checks the policy and drafts a refund.

API
A defined way for one program to request data or actions from another.
Example: A payments API that charges a card when an order is placed.

API rate limit
The maximum number of requests a service allows in a period.
Example: A limit of 100 requests per minute, after which requests are refused.

B

B2B / B2C
Business-to-business sales and business-to-consumer sales.
Example: A payroll tool for companies (B2B) versus a meal-planning app for families (B2C).

Backlog
The ordered list of work the team plans to do.
Example: Feature requests ranked by value and effort.

Benchmark
A standard test or reference point used to compare products or models.
Example: Comparing two AI models on the same 100 questions.

Beta
A pre-release version tested by selected users.
Example: A closed beta with 50 design partners.

BRD (Business Requirements Document)
A document that states the business need, goals and benefits of a project.
Example: A BRD that explains why the company needs a new claims system.

Burn rate
How fast a company spends its cash each month.
Example: Spending 300,000 a month with 1.2 million in the bank gives four months of runway.

C

CAC (Customer Acquisition Cost)
The average cost to win one new customer, including marketing and sales spend.
Example: 1,000 spent on ads that brings 10 customers gives a CAC of 100.

Churn
The share of customers who stop using or paying for a product in a period.
Example: 5% monthly churn means about 1 in 20 customers leaves each month.

Churn analysis
Finding why customers leave, using cohorts, surveys and usage data.
Example: Users who never completed setup churn in week one.

Cohort
A group of users who share a start date or trait, tracked over time.
Example: Users who signed up in January, measured each month after.

Context window
The maximum amount of text a model can consider in one request.
Example: A 200,000-token window holds a long contract plus the question.

Conversion rate
The share of visitors or leads who complete a goal.
Example: 200 sign-ups from 5,000 visitors is a 4% conversion rate.

Customer journey map
A diagram of each step a customer takes, their goals and their pain points.
Example: The steps from seeing an ad to renewing a subscription.

D

Dashboard
A screen that shows key metrics for quick decisions.
Example: A weekly view of signups, activation and churn.

Data-driven decision
A choice based on evidence from data rather than opinion alone.
Example: Keeping a feature only if its usage data supports it.

DAU / MAU
Daily active users and monthly active users: how many people use the product each day or month.
Example: The ratio DAU/MAU shows how often monthly users come back.

Definition of done
The checklist a piece of work must meet before it is complete.
Example: Tested, reviewed, documented and released behind a flag.

Dependency
A piece of work that cannot start until another piece is finished.
Example: Mobile release waits for the API change.

Discovery
The work of finding out which problems are worth solving and whether a solution will work.
Example: Interviewing 10 users before building a feature.

DPDP Act
India's Digital Personal Data Protection Act, which governs digital personal data.
Example: Honouring a customer's request to delete their data.

E

Edge case
An unusual situation that a feature must still handle.
Example: An order placed in one currency and refunded in another.

Embedding
A list of numbers that represents the meaning of text, used for search.
Example: Finding the help article closest in meaning to a question.

Epic
A large body of work broken into smaller stories.
Example: An epic called Mobile checkout split into 12 stories.

Escalation
Passing a problem to someone with more authority or expertise.
Example: A support case moved to engineering after two failed fixes.

Experiment
A planned test with a hypothesis, a control group and a measure.
Example: Testing a new onboarding step against the current one.

F

Feature flag
A switch that turns a feature on or off for some users without a new release.
Example: Releasing a new dashboard to 5% of users first.

Fine-tuning
Further training a model on your own examples to change its behaviour.
Example: Training a model to always use your company's report format.

Freemium
A model where a basic version is free and paid plans add features.
Example: A free plan with three projects and paid plans with unlimited projects.

Funnel
The sequence of steps users take to reach a goal, with the drop-off at each step.
Example: Visit, sign up, activate, pay.

G

GDPR
The EU data protection regulation that governs personal data.
Example: Asking for consent before storing a customer's email for marketing.

Go-to-market (GTM)
The plan for how a product reaches and wins its customers.
Example: Launch to existing customers first, then paid channels.

Gross margin
Revenue minus the direct cost of delivering it, as a share of revenue.
Example: 100 revenue with 25 direct cost gives a 75% gross margin.

Growth loop
A repeatable cycle where the product's use brings in new users.
Example: Users invite colleagues, who then invite more.

Guardrail
A rule or check that limits what an AI system may do or say.
Example: A filter that blocks personal data from leaving the system.

H

Hallucination
An AI answer that sounds right but is false or not supported by the sources.
Example: An invented citation in a generated report.

Heuristic evaluation
An expert review of a product against accepted usability rules.
Example: Checking a form against a list of usability principles.

Hypothesis
A testable statement about what will happen and why.
Example: If we add a progress bar, more users will finish onboarding.

I

Interview (user)
A structured conversation to learn a user's goals, habits and problems.
Example: Asking how the last time someone tried to pay a bill went.

J

Jobs to be done
A framework that asks what job a customer hires a product to do.
Example: People hire a meal kit to save planning time, not to cook.

K

KPI
Key performance indicator: a metric tied directly to a business goal.
Example: Monthly recurring revenue or activation rate.

L

Lead
A person who has shown interest in a product but is not yet a customer.
Example: Someone who downloads a pricing guide.

Lean startup
An approach that builds, measures and learns in short cycles to reduce waste.
Example: Building a landing page to test demand before building the product.

LTV (Lifetime Value)
The total profit expected from a customer over the relationship.
Example: An average customer pays 30 a month for 24 months at 60% margin.

M

MRR / ARR
Monthly recurring revenue and annual recurring revenue from subscriptions.
Example: 100 customers at 50 each gives an MRR of 5,000.

MVP (Minimum Viable Product)
The smallest version of a product that tests the riskiest assumption with real users.
Example: A spreadsheet-backed booking form tested with 20 clinics.

N

Net revenue retention
Revenue from existing customers after upgrades, downgrades and churn, as a share of the starting revenue.
Example: Above 100% means existing customers spend more over time.

No-code
Building software by configuring tools instead of writing code.
Example: An automation built in Zapier.

North Star metric
The single metric that best captures the value the product gives customers.
Example: Weekly active teams that complete a project.

North Star vs KPI
A North Star metric is the one value measure; KPIs track the parts that drive it.
Example: North Star: weekly active teams. KPIs: activation, retention, invites.

NPS (Net Promoter Score)
A score from -100 to 100 based on how likely customers are to recommend the product.
Example: Promoters minus detractors, as a percentage of respondents.

O

OKR
Objectives and key results: a goal with measurable results used to track progress.
Example: Objective: onboard faster. Key result: raise activation from 30% to 40%.

Onboarding
The steps that take a new user from sign-up to first value.
Example: A short setup checklist after sign-up.

P

Payback period
How long it takes for a customer's profit to repay the cost of acquiring them.
Example: CAC of 100 repaid by 25 monthly profit is a four-month payback.

Persona
A description of a type of user, with goals, habits and pain points.
Example: A busy operations manager who needs weekly reports in ten minutes.

Postmortem
A review of an incident or failure that records causes and actions, without blame.
Example: A review of a payment outage that adds a new alert.

PRD (Product Requirements Document)
A document that describes the problem, users, requirements, metrics and scope of a product or feature.
Example: A PRD for an invoice reminder feature.

Price elasticity
How much demand changes when price changes.
Example: A 10% price rise that cuts sales by 20% is highly elastic.

Pricing tier
A package of features and limits sold at one price.
Example: Starter, Pro and Business plans.

Prioritisation
Ranking work by value, effort, risk and confidence.
Example: RICE scoring of a list of features.

Product-market fit
The point where a product meets a strong, repeated demand from a defined market.
Example: Most users say they would be very disappointed if the product disappeared.

Prompt
The instructions and context given to a language model.
Example: Asking for a summary in three bullet points for an executive.

R

RAG (Retrieval-Augmented Generation)
A method where the model answers using documents retrieved for each question.
Example: A support bot that quotes the current policy page.

Release notes
A short summary of what changed in each release, for users and the team.
Example: New export feature and two bug fixes.

Retention
The share of users who keep using the product over time.
Example: Day 30 retention of 25% means one in four users is still active after a month.

RICE
A scoring method: Reach, Impact, Confidence and Effort.
Example: Score = (Reach x Impact x Confidence) / Effort.

Risk register
A list of risks with their likelihood, impact, owner and mitigation.
Example: The risk that a vendor misses the launch date, owned by the procurement lead.

Roadmap
A plan of what the team will build and why, over time.
Example: Quarterly themes with the features under each.

Root cause analysis
A method for finding the underlying cause of a problem.
Example: Five Whys applied to late deliveries.

S

SaaS
Software sold as a subscription and used online.
Example: A monthly plan for a scheduling tool.

Sentiment analysis
Classifying text as positive, negative or neutral.
Example: Tagging app store reviews by mood.

Sprint
A fixed period, usually one or two weeks, in which the team completes agreed work.
Example: A two-week sprint with a sprint goal.

Stakeholder
Anyone who affects or is affected by the product.
Example: Sales, legal, support and finance.

Story points
A relative estimate of the effort in a user story.
Example: A small change may be 1 point; a large integration may be 8.

Success metric
The measure that shows whether a feature achieved its goal.
Example: Increase in completed checkouts within 30 days.

T

Technical debt
Shortcuts in the code that make future changes slower or riskier.
Example: Copy-pasted logic that must be fixed in four places.

Time to value
How long it takes a new user to get their first benefit.
Example: Minutes from sign-up to the first report.

Token (AI)
A piece of text a language model reads or writes, used for pricing and limits.
Example: A short word is one token; a long word can be several.

U

UI (User Interface)
The visible screens and controls of a product.
Example: Buttons, menus and layouts.

Usability testing
Watching real users try to complete tasks with the product.
Example: Five users try to book an appointment while the team observes.

User story
A short description of a need, written from the user's point of view.
Example: As a manager, I want a weekly report by email, so that I can plan my team.

UX (User Experience)
How a person feels and succeeds when using a product.
Example: A form that shows errors next to each field.

V

Validation
Evidence that the problem is real and the solution is wanted.
Example: Ten of twelve interviewed clinics said they would pay for the feature.

Value proposition
The clear benefit a product gives a specific customer, compared with alternatives.
Example: Cut invoice chasing time by half for small accounting firms.

Vanity metric
A number that looks good but does not show real progress.
Example: Total downloads, when active users are falling.

Vibe coding
Building software by describing what you want to an AI builder and iterating in plain language.
Example: Describing a booking app in Lovable and testing each change.

W

Waterfall
A method that plans and delivers in fixed phases, one after another.
Example: Requirements, then design, then build, then test.

Wireframe
A simple sketch of a screen's layout without visual design.
Example: A low-fidelity box diagram of a checkout page.

Writing a PRD
Describing the problem before the solution, with success metrics and out-of-scope items.
Example: A PRD that starts with the user problem and ends with the launch checklist.